

Election-Year Market Insights

The impact of the US presidential elections on the stock market has historically captured the attention of investors, especially when considering how markets react under different political leadership.

Election Years	Party Won	S&P 500 Index Total Returns (%)
2020	Democratic	18.4
2016	Republican	12.0
2012	Democratic	16.0
2008	Democratic	-37.0
2004	Republican	10.9
2000	Republican	-9.1
1996	Democratic	23.1
1992	Democratic	7.7
1988	Republican	16.8
1984	Republican	6.3
1980	Republican	32.4
1976	Democratic	23.8
1972	Republican	19.0
1968	Republican	11.1
1964	Democratic	16.5

Data Source:

Fidelity and First Trust [1,2]

Past performance does not guarantee future results. Each box reflects the performance for a calendar year in which a US presidential election took place.

Reference:

- * "Investing in an election year - Fidelity" <https://www.fidelity.com/learning-center/trading-investing/election-market-impact> Accessed 8 Oct 2024
- * "S&P 500 Index Returns in U.S. Presidential Election Years - First Trust" <https://advisor.morganstanley.com/the-smie-garcia-group/documents/field/e/e/smie-garcia-group/S&P500%20Index%20Returns%20in%20Presidential%20Election%20years.pdf> Accessed 8 Oct 2024

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Observations:

- Generally, the S&P 500 recorded positive returns during the election years, with higher returns during years of Republican leadership compared to years under Democratic leadership.
- Over the course of 15 election years, the S&P 500 Index experienced downturns only **twice**.
- In the election years of 2000 and 2008, most sectors in the S&P 500 outperformed the overall benchmark. The index still saw negative total returns in two years due to underperforming sectors weighing down its performance.
- The two major economic events that significantly impacted these returns:
 - I. The Dotcom Bubble crash in 2000.
 - II. The financial crisis of 2007–2008.
- When both parties retained their position in the subsequent election, they contributed positively to improving the S&P 500 Index in the following years.
- When a new **Republican** was elected after a Democrat held office, the total return for the year averaged **11.6%**, while a new **Democrat** taking over from a Republican saw an average return of **3.2%**.

S&P 500 Index Total Returns During Presidential Election Years (1964–2020)

US Presidential Election Results	Average Return
Republican	12.4%
Democratic	9.8%